



Management Performance: Rsl

07 Climate-related transition risks and opportunities



Credits

No Minimum Standard

Aim

To recognize and encourage the assessment of the asset's exposure to climate-related transition risks and opportunities.

Question

Has the asset been assessed for exposure to climate-related transition risks and opportunities through a risk assessment process?

Credits	Answer	Select a single answer option
0	A.	Question not answered
0	B.	No
2	C.	Yes, the asset has been assessed for climate-related transition risks and opportunities
4	D.	Yes, the asset has been assessed for climate-related transition risks and opportunities and has externally disclosed the metrics used by the asset to assess these risks and opportunities

Assessment criteria

Criterion	Assessment criteria	Applicable Answer
1.	The process for assessing transition risks and opportunities should evaluate one or more risks to the following areas: asset value, tenants, communities (with particular attention paid to underserved populations), continuity of operations, individuals working with or for the asset.	C, D
2.	The assessment was carried out by a suitably qualified person or organisation, preferably third-party to the asset owner or manager within the last five years.	C, D
3.	Metrics should include energy, water, land use and waste management where relevant and applicable.	D

Evidence

Criteria	Evidence requirement
-	The evidence below is not exhaustive, please also refer to the 'BREEAM evidential requirements' section in the scope of the Guidance for appropriate evidence types which can be used to demonstrate compliance.
1, 3	The report detailing the transition risks and opportunities identified, the methodology used for the assessment and the key metrics where applicable.
2	Evidence of the competency of the individual(s) or organisation that undertook the assessment.
3	Evidence of how the metrics have been externally disclosed.

Definitions

Suitably qualified person or organisation:

A person or organisation that has sufficient knowledge, training and experience to assess an asset's climate-related risks and opportunities.

Transition risks and opportunities:

Risks and opportunities related to the transition to a lower-carbon economy. These may include policy, legal, technology and market changes to address mitigation and adaptation requirements related to climate change. Examples include policy that requires reduction of carbon emissions from assets, resource efficiency and lower emission and more resilient energy sources.

Additional information

Task Force on Climate-related Financial Disclosures (TCFD)

The Financial Stability Board Task Force on Climate-related Financial Disclosures (TCFD) is a market-driven initiative that have developed and published a set of recommendations for voluntary and consistent climate-related financial risk disclosures in mainstream filings. This guidance provides companies with guidance on what kind of information to provide to investors, lenders, insurers, and other stakeholders on climate-related risks. Further information can be found at : <https://www.fsb-tcfd.org/>

The final recommendations of the Task Force can be found at:

<https://www.fsb-tcfd.org/wp-content/uploads/2017/06/FINAL-TCFD-Report-062817.pdf>